Gondola Long-Term Planning

Leadership Committee Meeting #7

July 24, 2023

Project Development IGA

New Costs: Initial Project Development (IPD)

Importance of timing/urgency:

- RAISE Grant (annual cycle - November 2023 NOFO; January 2024 submittal)
  - FTA recommended this funding source for our project
  - $25,000,000 Maximum Grant Request
  - Competitive project
  - Project costs (inflation)
  - NOFO: Winter 2023
  - Notice of Award: Summer 2024
  - Funds Allocated: Fall 2024

- Information/deliverables from IPD request will support future grant applications

- IPD costs are reimbursable through the terms of the IGA

OpEx - Assumptions for 2028 costs

Estimated Cost

$2.06M Maintenance
$3.38M Operations
$747K MM&R/CAP
$660K Fixed/Overhead
$6.85M Total O/M Gondola

Additional Assumptions

- Existing system (all segments)
- New system double's capacity
- Shorter travel time
- Increased operational efficiencies
- Reduced maintenance costs
- 5% inflation year over year
- Base numbers 2023

Anticipated additional SMART Needs

$1.1 M per year for service expansion and projects
Total new Revenue for SMART = $7.95M

Tax Impact Analysis for Gondola Financing and Operations

San Miguel Authority for Regional Transportation

Tax Impact Analysis for Gondola Financing and Operations [1]

Preliminary For Discussion Purposes Only

SMART	Property Tax[2]		Sales Tax [2]		Lodgers[3]	
Limit	5 Mills	4,500,000	2.00%	9,400,000	2.0% Combined	---
Current	0.75 Mill	675,000	0.25%	1,175,000	n/a	---
Net New	**4.25 Mills**	**3,825,000**	**1.75%**	**8,225,000**	**Per 1.0%**	**2,002,058**

Gondola Operations	5,000,000
Debt Service @ $40 million	2,400,000
TOTAL Annual Expenses	**7,400,000**

Operations $5M

$1.6M	Maintenance
$2.7M	Operations
$600K	Fixed/Overhead

New Gondola System ~$65M

Replace EXISTING system
In today's dollars
Includes cable car & stations

(1) Assumes tax rates necessary to generate sufficient revenues to pay projected debt service and operations at 1.0x and does not factor into any additional revenues needed for debt service coverage or to account for revenue volatility. Assumes a gross revenue pledge for debt service, meaning all revenues collected are available for debt service prior to the payment of operations and maintenance.

(2) Current Statute Limits Sales Tax to 2.0%.

(3) Current Statute limits Visitor Benefit Tax to maximum of 2.0% inclusive of any tax imposed by other local taxing entities. Would require legislative action to impose "Lodgers Tax" above current levels imposed by Telluride and Mountain Village.

(4) Assumed annual revenue from lift ticket sales.